

Measuring and Managing Exchange Rate Risk in the Current Global Economy



SIMON
GRADUATE SCHOOL OF BUSINESS
UNIVERSITY *of* ROCHESTER

Program Overview

Foreign exchange risk has an impact on every international company, bank, and financial service firm. However, to many managers, currency hedging often seems as a Gordian Knot or a Chakravayu. The concept overwhelms many managers and executives, so they either avoid risk hedging, or hedge without adequate knowledge and skills.

India Inc. has been a resurgent force in the global economy, “contributing to over half a trillion dollars to global commerce in 2010-2011.” However, India Inc.’s increasing international business also raises the exposure to foreign exchange risk. With regulations being steadily eased and the turnover and liquidity in the foreign currency derivative markets increasing, Indian firms now have an unprecedented number of tools to hedge their exposure. However, the complexity of the current global situation and the risk of multiple currencies add to the challenges of currency hedging today.

Turbulence in traditional markets and the search for new markets demand new thinking in managing risk. What has been particularly difficult is the large degree of volatility in fixed income and foreign exchange markets that has spread the crisis from developed markets to developing ones.

India Inc. is said to have lost hundreds of millions of dollars through bad currency hedging in 2009, with some companies’ profits being wiped out entirely. Litigation and penalties have also struck the banking sector. The increased risk exposure and past losses mean Indian corporations have a need for a comprehensive and enhanced understanding of what can be done in the current turbulent and challenging global circumstances.

The Simon Graduate School of Business, University of Rochester, has a program specially designed for India in the current global economic climate. Financial leaders will benefit from the Simon School’s latest research and international expertise, combined with the Indian industry’s multidisciplinary experts who will participate in a panel discussion during the program.



Topics Covered

In the Context of the Current Global Economy

- I. Introducing foreign exchange markets and international money markets
- II. Understanding currency risk issues
- III. Managing economic exposures
- IV. Identifying risks and rewards facing an Indian firm operating in international financial markets
- V. Mechanisms for corporate managers to determine a firm's risk exposure
- VI. Financial turbulence in Europe and relevant case studies

Who Should Attend

Chief financial officers and their senior colleagues who attend the program will gain insights and skills to provide leadership within their businesses. Banking and financial service advisors and sales managers will sharpen their ability to demystify currency hedging for their clients and win back their confidence and business.

The Simon School prides itself on equipping executives and managers with the framework and tools needed to solve complex business problems. The program will empower managers and executives to ask the right questions and make appropriate decisions. In addition, the program focuses on measuring and managing risk to ensure that participants always stay on top of their game.

Program Distinction

- ▶ Pre-Read of a book and cases provided to each participant
- ▶ A unique approach and frameworks that can be applied to enhance performance
- ▶ Panel Discussion: An expert panel from Indian Industry with experience in foreign exchange and regulation in India will enhance the learning from this program
- ▶ Certificate of Participation

Global Financial Management Series

Global Financial Management Series is composed of three themes: Global Financial Crisis and Impact, Risk Management and Value Creation and Growth Opportunity through Mergers and Acquisitions.



Confederation of Indian Industry

The program is supported by CII.

Speaker—Dr. Gregory Bauer, Visiting Assistant Professor of Finance



Dr. Bauer is assistant director and research adviser in the Financial Markets Department at the Bank of Canada. At the bank, he is responsible for managing a group of nine PhD researchers who specialize in analyzing fixed income and foreign exchange markets. In addition, he coordinates the department's annual research workshops.

His main area of research is international finance. He has published papers in *Review of Economic Studies*, the *Journal of Financial Economics*, the *Journal of Econometrics*, the *Journal of International Money and Finance*, as well as in several policy-oriented journals. He is currently working on incorporating macroeconomic factors into term structure models using high-frequency data.

Dr. Bauer received his doctorate from the Wharton School of Business at the University of Pennsylvania. He holds the Chartered Financial Analyst (CFA) designation. Prior to obtaining his doctorate, Dr. Bauer was a foreign exchange trader at the Bank of Canada and a macroeconomist at the Ontario Ministry of Finance. Dr. Bauer is a four-time winner of the Superior Teaching Award from the Simon MBA program and a multiple winner of awards from the Executive MBA program.

Date and Time

12/10/2011: 9:00 a.m. to 6:00 p.m.

13/10/2011: 9:00 a.m. to 5:00 p.m.

Location

Grand Hyatt, Mumbai

(Off Western Express Highway, Santacruz

East, Mumbai 400 055 India)

Fees

Please see registration form

Contact Us

Chia Chi Tang

Associate Director of Executive Programs

The Simon School at the University of
Rochester

(w) 585-275-2739

chia-chi.tang@simon.rochester.edu

Shikha Modwel

Manager

Rochester Wadhawan Foundation for
Learning

(w) 91-22-67748000

91-22-67748123

(m) 91-9967002943

shikha.modwel@whpl.co.in

Please visit our website at:

www.simon.rochester.edu/ele/

The Simon School at the University of Rochester

The University of Rochester boasts eight Nobel Prize winners and 12 Pulitzer Prize winners among its ranks. The Simon School is ranked as No. 6 in the world for Finance and No. 5 in the world for Managerial Economics, by the *Financial Times*. Simon also ranks No. 1 for Return on Investment among all private business schools in the US by *BusinessWeek*.

Simon School faculty is renowned internationally for their expertise and originality. They provide participants with global perspectives that reflect their experience and backgrounds. In addition, the Simon School has strong doctoral programs. Its PhD graduates are recruited as faculty for top US business schools such as Harvard Business School, MIT, University of Chicago and Wharton Business School.

The underlying economic framework the Simon School uses is unique and powerful. The multidisciplinary and cross functional approach challenges participants to think creatively and critically and to apply tools that improve organizational performance.

Centers of Excellence

The Simon School has established Centers of Excellence to advance research, industry linkages, and customized business education in the following categories:

Center for Pricing

Promotes excellence in pricing education and research at the Simon School, as well as providing a platform for meaningful interaction between business executives, educators, and researchers in this high-demand field.

Center for Entrepreneurship

Identifies partnerships with alumni, local businesses, and nonprofit organizations, and develops new ways to teach entrepreneurship. The innovative Kauffman Internship Program offers an opportunity for selected students to work with senior management in entrepreneurial firms in the Rochester area.

Center for Information Intensive Services

Serves as a center of excellence for research in information intensive services and provides a platform for meaningful interaction between business executives and researchers in these increasingly important sectors of the economy.